

RoofCo Services LLC

Illustrative Financial Statements

For the Year Ended December 31, 2025

Balance Sheet

Assets	USD
Cash	125000
Accounts receivable	68000
Inventory (materials)	18000
Prepaid insurance	6000
Property & equipment, net	145000
Total assets	362000
Liabilities and Members' Equity	
Accounts payable	42000
Accrued payroll	18000
Equipment loan	90000
Members' equity	212000
Total liabilities & equity	362000

Income Statement

Revenue	USD
Roof repair revenue	820000
Cost of services	510000
Gross profit	310000
Selling & admin	165000
Depreciation	22000
Interest expense	8000
Income before tax	115000
Income tax expense	24000
Net income	91000

Statement of Cash Flows (Indirect)

Operating activities	USD
Net income	91000

Depreciation	22000
Increase in AR	12000
Increase in AP	8000
Net cash from operations	109000
Capital expenditures	30000
Loan principal payments	18000
Net increase in cash	61000

Selected Notes to Financial Statements

1. Nature of Operations. RoofCo Services LLC provides residential and commercial roof repair and maintenance services in Illinois.

2. Basis of Presentation. These illustrative financial statements were prepared in accordance with U.S. GAAP.

3. Revenue Recognition. Revenue is recognized when roof repair services are completed and control transfers to the customer.

4. Property and Equipment. Equipment is recorded at cost and depreciated using the straight-line method over estimated useful lives.

5. Debt. The Company has a term loan secured by equipment bearing interest at 6.2%, maturing in 2029.

6. Subsequent Events. Management evaluated subsequent events through the date the financial statements were available to be issued.

Purpose of this document: This is a fictional example created for software demos and testing. It intentionally omits many disclosures so it can be used to demonstrate an AI disclosure review workflow.